

Crowbar Evaltree Insights

Hiring & Talent Economics — 2026 Edition

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Executive Summary

Hiring and talent economics in 2026 refers to the mechanisms through which organizations acquire, compensate, and retain human capital under conditions of technological disruption, demographic shifts, and changing labor market structures. The dominant logic governing talent decisions has shifted from the expansion-driven frameworks of 2020-2021 to efficiency-focused models emphasizing productivity per employee, cost discipline, and strategic workforce composition.

Several structural factors shape current talent economics. Interest rate increases beginning in 2022 reduced capital availability for growth-stage companies, forcing reductions in headcount growth rates and increased emphasis on profitability. Simultaneously, generative artificial intelligence tools introduced in late 2022 and adopted widely through 2024-2025 changed assumptions about required headcount for specific functions, particularly in software engineering, content production, and customer support.

Labor market conditions as of early 2026 reflect divergent dynamics across sectors and geographies. Technology sector unemployment rates increased from historic lows in 2021-2022 to elevated levels by 2024, driven by widespread layoffs and reduced hiring velocity. However, demand for specific skills related to AI implementation, infrastructure engineering, and enterprise sales remained strong. Non-technology sectors experienced different patterns, with healthcare, skilled trades, and logistics facing persistent talent shortages.

Compensation structures evolved in response to these conditions. Cash compensation growth decelerated from 2021 peaks, with median base salary increases declining from double-digit percentages to low single digits by 2024-2025 according to compensation benchmark providers. Equity compensation as a percentage of total compensation declined at private companies due to valuation corrections and extended exit timelines. Remote work policies stabilized after the volatility of 2020-2023, with most organizations adopting hybrid models requiring periodic in-office presence.

This brief documents the decision frameworks organizations use to make hiring and compensation decisions in 2026, the assumptions embedded in those frameworks, and the observable market conditions influencing talent economics. It takes no position on whether these frameworks produce optimal outcomes.

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Context Snapshot — Why This Matters Now

The talent economics environment of 2026 emerged from the convergence of multiple structural shifts between 2020 and 2025. Understanding these shifts provides context for current decision-making frameworks.

The COVID-19 pandemic beginning in March 2020 forced rapid adoption of remote work and triggered significant labor market restructuring. According to the U.S. Bureau of Labor Statistics, unemployment reached 14.7 percent in April 2020, then declined to 3.5 percent by March 2022, creating severe talent shortages in certain sectors (Bureau of Labor Statistics, Labor Force Statistics, <https://www.bls.gov/cps/>). Technology companies increased hiring velocity and compensation levels to compete for scarce talent during 2020-2022.

Monetary policy shifts beginning in 2022 changed incentive structures for hiring decisions. The Federal Reserve raised interest rates from near-zero to above 5 percent by mid-2023, the fastest tightening cycle in decades (Federal Reserve FOMC statements, <https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm>). Higher discount rates reduced the present value of future growth, causing investors to emphasize near-term profitability over expansion. Technology companies responded with widespread layoffs. According to Layoffs.fyi, which tracks technology sector layoffs, over 260,000 technology workers were laid off globally in 2023, followed by over 150,000 in 2024 (Layoffs.fyi data, <https://layoffs.fyi/>).

The introduction of ChatGPT in November 2022 catalyzed rapid adoption of generative AI tools across enterprise functions. McKinsey Global Institute published research in 2023 estimating that generative AI could automate activities consuming 60 to 70 percent of employee time across various occupations (McKinsey Global Institute, "The Economic Potential of Generative AI", June 2023, <https://www.mckinsey.com/capabilities/mckinsey-digital/our-insights/the-economic-potential-of-generative-ai-the-next-productivity-frontier>). Organizations began reassessing required headcount for software development, content creation, customer support, and knowledge work functions.

Demographic trends continued to shape long-term talent availability. The U.S. labor force participation rate for workers aged 55 and older increased while participation rates for younger cohorts remained below pre-pandemic levels (Bureau of Labor Statistics, Labor Force Participation Rate data, <https://www.bls.gov/charts/employment-situation/civilian-labor-force-participation-rate.htm>). Immigration policy changes in various jurisdictions affected talent supply, particularly for high-skilled technical roles.

Remote work policies stabilized after significant volatility between 2020 and 2024. Early pandemic-era predictions of permanent remote work gave way to hybrid models. According to data published by Kastle Systems, which tracks office occupancy through building access systems, average U.S. office occupancy rates stabilized at approximately 60 to 70 percent of pre-pandemic levels by late 2024 (Kastle Back to Work Barometer, <https://www.kastle.com/safety-wellness/getting-america-back-to-work/>).

These structural shifts created the context in which organizations make hiring and compensation decisions in 2026. Decision-makers operate with assumptions shaped by capital constraints, technological capabilities, and labor supply conditions that differ significantly from prior periods.

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What Hiring & Talent Economics Is (Plain English)

Hiring and talent economics encompasses the processes through which organizations determine workforce needs, acquire talent, set compensation levels, and manage employee retention and productivity. These processes involve economic trade-offs between labor costs and expected productivity, influenced by market conditions, regulatory constraints, and organizational strategy.